

to take a technology-neutral approach. It doesn't matter which technology we employ as long as it works towards a better environment," says Takeuchi. What's important for him are cost effectiveness and fuel efficiency. "We have to make sure we're chosen by the customer."

In addition to the company's decarbonisation strategy, Maruti's reinvention is also necessitated by challenges like the SUV boom. From just 25 per cent in FY17, SUVs' share has skyrocketed to 48.5 per cent of the passenger vehicles market, according to SIAM, closing FY22 as the fastest-growing category. While Maruti leads the segment with vehicles like Vitara Brezza, Ertiga, S-Cross and XL6, its share has been sliding a bit, and competitors are pumping in new, attractive SUVs to the consumers' delight.

This is a challenge that Takeuchi is ready to take head-on. The company is planning to launch a line-up of entry-level SUVs to bolster its leadership in the category. "We have a strong product plan in place. I'm sure this will help us increase market share (in passenger vehicles) gradually to close to 50 per cent," he says.

Mitul Shah, Head of Research at Reliance Securities, says all global firms are focussing on SUVs: "Even within SUVs, people prefer compact SUVs." Shah adds that the entry-level car segment is under stress. "Pricing power is a major issue and that's the reason that despite sizeable numbers, profitability is not coming out. Customer preference is shifting from small cars to compact SUVs."

While there's a perception outside the industry that India no longer remains a small car market, Bhargava has a contrarian view. "It's not as if the Indian car market is moving towards SUVs and more expensive cars. In the past three to four years, the cost of [cars at] the lower end of the market has risen very steeply, because of which the

buying ability of people in that segment has been eroded," he says. In FY19, due to various reasons like change in emission norms from Bharat Stage IV to VI, the cost of cars went up. According to him, between FY19 and FY22, Alto's price increased by 20 per cent, and volumes dropped by 32.5 per cent. For the entire mid-hatchback segment, volumes dropped by 22.7 per cent, even as the price went up by 38.5 per cent. "It's clear that as the price is going up, volumes are coming down," Bhargava says.

In the same period, he says entry-level SUV segment sales went up by 76 per cent whereas the price increase here was 13.5 per cent. During this period, total industry volumes (of all cars) declined from 3.38 million to 3.07 million, a fall of 300,000 vehicles from FY19 to FY22. "Domestic sales of cars this year [FY22] are at the level of 2016-17. In these past five years, the domestic car market has not grown but the SUV segment has grown. The overall market has not grown because the lower end of the car market has shrunk. It doesn't mean that the customer is shifting away from small cars to big cars because the total number of customers has declined," he says.

T **OYOTA MOTOR CORPORATION** and **SMC** started a partnership in 2016 and signed an agreement in August 2019 for an alliance to establish and promote long-term co-operation in new fields, including EV technology and autonomous driving. As per the agreement, in the Indian market, Toyota will share hybrid electric vehicle (HEV) technology with Maruti through local procurement of HEV systems, engines and batteries; and Suzuki will supply compact vehicles on the platform underpinning Ciaz and Ertiga.

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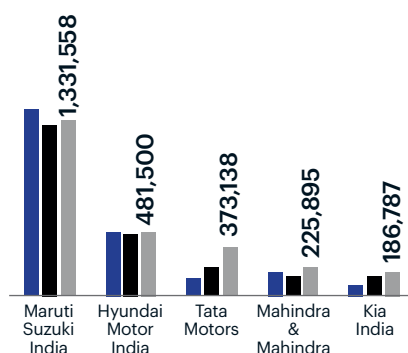
NUMBER 1 BY FAR

Maruti continues to dominate the categories that matter in India's auto industry

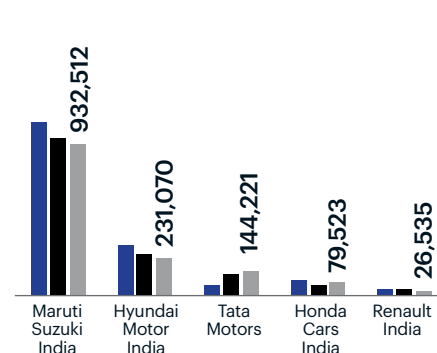
SALES FIGURES IN UNITS;
SOURCE: SIAM

■ 2019-20 ■ 2020-21 ■ 2021-22

PASSENGER VEHICLES



PASSENGER CARS



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